Registered number: 26538

ESSO PETROLEUM COMPANY, LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2016

ESSO PETROLEUM COMPANY, LIMITED

COMPANY INFORMATION

DIRECTORS	J P Chaplin (resigned 1 February 2016) P P Clarke (appointed 1 February 2016) D C Connolly (resigned 20 June 2016) R M Cooper (resigned 1 July 2016) W A E D Don (appointed 1 March 2017) P J Simon (appointed 20 June 2016) T W Stevens (appointed 1 July 2016, resigned 1 March 2017) J R Wetmore (resigned 1 June 2017) S P Downing (appointed 1 June 2017)
COMPANY SECRETARY	F H Harness
REGISTERED NUMBER	26538
REGISTERED OFFICE	Ermyn House Ermyn Way Leatherhead Surrey KT22 8UX
INDEPENDENT AUDITORS	PricewaterhouseCoopers LLP 1 Embankment Place London WC2N 6RH
COMPANY TYPE	Esso Petroleum Company, Limited is a private company, limited by shares and registered in England and Wales

ESSO PETROLEUM COMPANY, LIMITED

CONTENTS

DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2016

The directors present their report and the financial statements for Esso Petroleum Company, Limited (the "Company") for the year ended 31 December 2016.

DIRECTORS' RESPONSIBILITIES STATEMENT

The directors are responsible for preparing the Directors' Report, the Strategic Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice). Under Company law the directors must not approve the financial statements unless satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

FINANCIAL RISK MANAGEMENT

The Company has chosen in accordance with section 414C(11) of the Companies Act 2006, to set out information related to financial risk management, in the Company's strategic report below.

RESULTS AND DIVIDENDS

The profit for the year, after taxation, amounted to £179M *(2015 - £348M)*.

No dividends were recommended by the directors or paid during the year *(2015 - £300M)*.

CHARITABLE CONTRIBUTIONS

During 2016, the Company made charitable donations in support of the community of £0.5M *(2015 - £0.6M)*.

FUTURE DEVELOPMENTS

The Company intends to continue with its current principal activity.

POST BALANCE SHEET EVENTS

In March 2017 the Company paid a dividend of £100M to ExxonMobil UK Limited.

DIRECTORS' REPORT (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2016

DIRECTORS

The directors who served during the year were:

J P Chaplin (resigned 1 February 2016)
P P Clarke (appointed 1 February 2016)
D C Connolly (resigned 20 June 2016)
R M Cooper (resigned 1 July 2016)
P J Simon (appointed 20 June 2016)
T W Stevens (appointed 1 July 2016, resigned 1 March 2017)
J R Wetmore (resigned 1 June 2017)

RESEARCH AND DEVELOPMENT ACTIVITIES

The Company is able to call on the extensive research and development resources of its ultimate parent company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and comprehensive technical support, covering crude oils, industrial fuels and lubricants, bitumen and greases. Research and guidance on environmental matters is also provided by other members of the ExxonMobil group.

EMPLOYEE INVOLVEMENT

The Company is an equal opportunity employer and complies with all relevant legislation.

The Company's policy is also to ensure that equal opportunities, including applications for employment, training, career development and promotion exist.

The Company has established over many years a comprehensive programme of employee communication and consultation to systematically provide employees with information on matters of concern to them or their representatives, so that their views can be taken into account when making decisions that are likely to affect their interests. The directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

DISCLOSURE OF INFORMATION TO AUDITORS

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

This report was approved by the board and signed on its behalf.

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W A E D Don
Director

Date: 22 September 2017

STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2016

PRINCIPAL ACTIVITIES

The principal activities of the Company are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company are listed in note 16 to the Financial Statements.

BUSINESS REVIEW

During 2016, the Company recorded an increase in gross profit as a result of higher margins than prior year. Profit for the year after taxation reduced to £179M (2015 £348M) due to the absence of profits associated with the 2015 retail sites disposal. Additionally, the Company sold 8 retail sites recognising a profit of £21M.

The Company has net assets of £1,137M *(2015 - £948M)*.

With effect from 1 July 2016, the Company was replaced as the operator of the facilities and pipeline receipt facilities of Manchester Airport Storage and Hydrant Company Limited, by BP International Ltd.

On 1st September 2016 the Company completed the sale of its interest share in Manchester Airport Storage and Hydrant Company Limited, to World Fuel Services for £2.0M.

Also, on 1st December 2016, the Company completed the sale of its 100% holding in Redline Oil Services Limited, to World Fuel Services for £0.5M.

KEY PERFORMANCE INDICATORS

The business of the Company is managed on a divisional basis and performance is measured in areas such as safety, the environment, operations and finance. Performance indicators are regularly shared with divisional management, including representatives of the ultimate parent company, Exxon Mobil Corporation.

PRINCIPAL RISKS AND UNCERTAINTIES

The Company's principal risks and uncertainties comprise financial risks, health and safety and environment. The Company's policies relating to financial risk management, health and safety and environment are set out in the paragraphs below.

FINANCIAL RISK MANAGEMENT

The Company is exposed to financial risks from a variety of factors that include price, credit, liquidity, interest rates and foreign exchange.

Price risk - The Company is exposed to fluctuations in oil, petrochemical and gas prices as a result of its operations. The Company does not use derivative financial instruments to manage the risk of fluctuating prices, so no hedge accounting is applied. The Company will revisit the appropriateness of this policy should operations change in nature.

Credit risk - The Company has implemented policies and procedures which require appropriate credit checks on potential customers before sales are made. The Company also has systems and processes to ensure the ongoing monitoring of customer creditworthiness and has in place procedures to enable it to respond where change in customer credit risk is detected.

Liquidity risk - The Company actively manages its finances to ensure that it has sufficient available funds for its operations. It is the directors' understanding that the ExxonMobil group companies will continue to provide suitable resources to the Company to meet its needs. The Company has a process in place to monitor the best financing structure and periodically reviews its strategies. Following such review, loans may be repaid prior to their maturity date or extended or replaced by alternative funding arrangements.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of those involved in its operations, customers and the public. The Company strives to prevent all accidents, injuries and occupational illnesses through its Operations Integrity Management System. This is embedded into everyday work processes at all levels of the organisation and addresses all aspects of managing safety and health, as well as security, environmental and social risks at our facilities. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Company's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate parent company, Exxon Mobil Corporation. Each year, Exxon Mobil Corporation publishes a detailed and comprehensive Corporate Citizenship Report that gives a full account of its positions, actions and performance.

Copies of this publication can be obtained by writing to: Exxon Mobil Corporation, Attn Public & Government Affairs, CCR Requests, 5959 Las Colinas Boulevard, Irving, Texas 75039-2298, USA. Alternatively, it can be viewed on www.exxonmobil.com.

This report was approved by the board and signed on its behalf.

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W A E D Don
Director

Date: 22 September 2017

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

REPORT ON THE FINANCIAL STATEMENTS

Our opinion

In our opinion, Esso Petroleum Company, Limited's financial statements (the "financial statements"):

- give a true and fair view of the state of the Company's affairs as at 31 December 2016 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

What we have audited

The financial statements, included within the Annual Report and Financial Statements (the "Annual Report"), comprise:

- the statement of financial position as at 31 December 2016;
- the statement of comprehensive income for the year then ended;
- the statement of changes in equity for the year then ended; and
- the notes to the financial statements, which include a summary of significant accounting policies and other explanatory information.

The financial reporting framework that has been applied in the preparation of the financial statements is United Kingdom Accounting Standards, comprising FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law (United Kingdom Generally Accepted Accounting Practice).

In applying the financial reporting framework, the directors have made a number of subjective judgements, for example in respect of significant accounting estimates. In making such estimates, they have made assumptions and considered future events.

OPINIONS ON OTHER MATTERS PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Directors' Report has been prepared in accordance with applicable legal requirements.

In addition, in light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we are required to report if we have identified any material misstatements in the Strategic Report and the Directors' Report We have nothing to report in this respect.

OTHER MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

Adequacy of accounting records and information and explanations received

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not received all the information and explanations we require for our audit; or
- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

Directors' remuneration

Under the Companies Act 2006 we are required to report to you if, in our opinion, certain disclosures of directors' remuneration specified by law are not made. We have no exceptions to report arising from this responsibility.

RESPONSIBILITIES FOR THE FINANCIAL STATEMENTS AND THE AUDIT

Our responsibilities and those of the directors

As explained more fully in the Directors' Responsibilities Statement set out on page 1, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view.

Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) ("ISAs (UK & Ireland)"). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

This report, including the opinions, has been prepared for and only for the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

What an audit of financial statements involves

We conducted our audit in accordance with ISAs (UK & Ireland). An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of:

- whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed;
- the reasonableness of significant accounting estimates made by the directors; and
- the overall presentation of the financial statements.

We primarily focus our work in these areas by assessing the directors' judgements against available evidence, forming our own judgements, and evaluating the disclosures in the financial statements.

We test and examine information, using sampling and other auditing techniques, to the extent we consider necessary to provide a reasonable basis for us to draw conclusions. We obtain audit evidence through testing the effectiveness of controls, substantive procedures or a combination of both.

In addition, we read all the financial and non-financial information in the Annual Report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report. With respect to the Strategic Report and the Directors' Report, we consider whether those reports include the disclosures required by applicable legal requirements.

Jonathan Lambert (Senior statutory auditor)
for and on behalf of
PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
London
22 September 2017

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2016

	Note	2016 £M	*2015* *£M*
Turnover	3	4,882	*5,537*
Cost of sales		(4,537)	*(5,215)*
Gross profit		345	*322*
Distribution costs		(115)	*(172)*
Administrative expenses		(30)	*(14)*
Other operating income		21	*222*
Other non-operating income		-	*11*
Operating profit	4	221	*369*
Income from fixed asset investments	8	2	*2*
Income from disposal of fixed asset investments		2	*-*
Interest receivable and similar income	9	2	*2*
Interest payable and similar expenses	10	(1)	*(1)*
Other finance costs	11	(5)	*(5)*
Profit before tax		221	*367*
Tax on profit	12	(42)	*(19)*
Profit for the year		179	*348*
Other comprehensive income for the year			
Actuarial gains on defined benefit pension scheme		11	*1*
Movement of deferred tax relating to pension liability		(1)	*-*
Other comprehensive income for the year		10	*1*
Total comprehensive income for the year		189	*349*

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2016

	Note		2016 £M		2015 £M
Fixed assets					
Intangible fixed assets	14		11		14
Tangible fixed assets	15		648		668
			659		682
Current assets					
Inventories	17	627		514	
Debtors: Amounts falling due after more than one year	18	17		13	
Debtors: Amounts falling due within one year	18	1,129		871	
		1,773		1,398	
Creditors: Amounts falling due within one year	19	(998)		(849)	
Net current assets			775		549
Total assets less current liabilities			1,434		1,231
Creditors: Amounts falling due after more than one year	20		(108)		(110)
Provisions for liabilities					
Deferred tax	23	(31)		(37)	
Other provisions	24	(19)		(13)	
			(50)		(50)
Pension liability	26		(139)		(123)
Net assets			1,137		948
Capital and reserves					
Called up share capital	28		573		573
Other reserves	29		3		3
Profit and loss account	29		561		372
			1,137		948

The financial statements were approved and authorised for issue by the board and were signed on its behalf by

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W A E D Don
Director

Date: 22 September 2017

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2016

	Share Capital	Other reserves	Profit and loss account	Total equity
	£M	£M	£M	£M
At 1 January 2016	573	3	372	948
Comprehensive income for the year				
Profit for the year	-	-	179	179
Actuarial gains on pension scheme	-	-	10	10
At 31 December 2016	573	3	561	1,137

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2015

	Share Capital	Other reserves	Profit and loss account	Total equity
	£M	£M	£M	£M
At 1 January 2015	573	3	323	899
Comprehensive income for the year				
Profit for the year	-	-	348	348
Actuarial gains on pension scheme	-	-	1	1
Contributions by and distributions to owners				
Dividends: Equity capital	-	-	(300)	(300)
At 31 December 2015	573	3	372	948

The notes on pages 10 to 34 form part of these financial statements.

1. ACCOUNTING POLICIES

1.1 Basis of preparation of financial statements

The financial statements have been prepared on a going concern basis under the historical cost convention and in accordance with Financial Reporting Standard 102, (The Financial Reporting Standard applicable in the United Kingdom and the Republic of Ireland) and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 2).

The Company is itself a subsidiary company and is exempt from the requirement to prepare group financial statements by virtue of section 401 of the Companies Act 2006. These financial statements therefore present information about the Company as an individual undertaking and not about its group.

The following principal accounting policies have been applied consistently:

1.2 Financial reporting standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 4 Statement of Financial Position paragraph 4.12(a)(iv);
- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 26 Share-based Payment paragraphs 26.18(b), 26.19 to 26.21 and 26.23;
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Exxon Mobil Corporation as at 31 December 2016 and these financial statements may be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.

1. ACCOUNTING POLICIES (CONTINUED)

1.3 Revenue

The Company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services.

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue is measured as the fair value of the consideration received or receivable, excluding discounts, rebates, value added tax and other sales taxes. The following criteria must also be met before revenue is recognised:

Sale of goods

Revenue from the sale of goods is recognised when all of the following conditions are satisfied:

- the Company has transferred the significant risks and rewards of ownership to the buyer;
- the Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the Company will receive the consideration due under the transaction; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

In the course of normal business, the Company enters into contracts with third parties, including contracts giving rise to linked sales and cost of sales entries such as location swaps. These linked transactions are not reported separately in Turnover and Cost of Sales, but are reported net.

1.4 Intangible fixed assets

Intangible assets are initially recognised at cost. Under the cost model, intangible assets are measured at cost less any accumulated amortisation and any accumulated impairment losses.

All intangible assets are considered to have a finite useful life. If a reliable estimate of the useful life cannot be made, the useful life shall not exceed five years.

Goodwill arising on acquisitions of businesses and recorded in the statement of financial position is amortised through the statement of comprehensive income. The Company amortises such purchased goodwill by equal instalments over the goodwill's expected useful life, which is typically between 10 and 20 years, being the directors' best estimate of the period over which the goodwill will be realised.

The estimated useful lives range as follows:

Software	-	5 years

The cost of intangible assets represents software and allocated and purchased CO_2 emission rights. The CO_2 emission rights are not amortised during the year as they are surrendered following the completion of an independent audit of the actual emissions.

1. ACCOUNTING POLICIES (CONTINUED)

1.5 Tangible fixed assets

Tangible fixed assets are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes the original purchase price, costs directly attributable to bringing the asset to its working condition for its intended use, dismantling and restoration costs.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

Land is not depreciated. Depreciation on other assets is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Buildings	- 3.3% to 4.0% per annum
Plant & equipment	- 3.3% to 20.0% per annum
Long Leasehold land	- 0.5% to 6.67% per annum
Assets under construction	- Not depreciated until brought into use

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within the statement of comprehensive income.

1.6 Operating leases: Lessee

Leases that do not transfer all the risks and rewards of ownership are classified as operating leases.

Rentals paid under operating leases are charged to the Statement of Comprehensive Income on a straight line basis over the lease term.

1.7 Research and development costs

Research and development expenditure is written off in the year in which it is incurred.

1.8 Valuation of investments

Investments held as fixed assets are shown at cost less provision for impairment.

1.9 Inventories

Inventories are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and overheads directly attributable to bringing the inventory to its present location and condition.

1. ACCOUNTING POLICIES (CONTINUED)

1.10 Financial instruments

The Company only enters into basic financial instruments transactions that result in the recognition of financial assets and liabilities like trade and other accounts receivable and payable and loans to related parties.

Debt instruments that are payable or receivable within one year, typically trade payables or receivables, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration, expected to be paid or received. Debt instruments, like loans and other accounts receivable and payable, are initially measured at present value of the future payments and subsequently at amortised cost using the effective interest method.

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the statement of comprehensive income.

For financial assets measured at amortised cost, the impairment loss is measured as the difference between an asset's carrying amount and the present value of estimated cash flows discounted at the asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

For financial assets measured at cost less impairment, the impairment loss is measured as the difference between an asset's carrying amount and best estimate, which is an approximation of the amount that the Company would receive for the asset if it were to be sold at the reporting date.

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

1.11 Foreign currency translation

Functional and presentation currency of the Company is GBP.

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign exchange gains and losses resulting from the settlement of transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of comprehensive income.

1.12 Finance costs

Finance costs are charged to the statement of comprehensive income over the term of the debt using the effective interest rate method so that the amount charged is at a constant rate on the carrying amount.

1. ACCOUNTING POLICIES (CONTINUED)

1.13 Dividends

Equity dividends are recognised when they become legally payable. Interim equity dividends are recognised when paid.

1.14 Pensions

Defined benefit pension plan

The Company operates a defined benefit plan for certain employees. A defined benefit plan defines the pension benefit that the employee will receive on retirement, usually dependent upon several factors including but not limited to age, length of service and remuneration. A defined benefit plan is a pension plan that is not a defined contribution plan.

The liability recognised in the statement of financial position in respect of the defined benefit plan is the present value of the defined benefit obligation at the end of the reporting date less the fair value of plan assets at the reporting date (if any) out of which the obligations are to be settled.

The defined benefit obligation is calculated using the projected unit credit method. Annually the Company engages independent actuaries to calculate the obligation. The present value is determined by discounting the estimated future payments using market yields on high quality corporate bonds that are denominated in sterling and that have terms approximating to the estimated period of the future payments ('discount rate').

The fair value of plan assets is measured in accordance with the FRS 102 fair value hierarchy and in accordance with the Company's policy for similarly held assets. This includes the use of appropriate valuation techniques.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to other comprehensive income. These amounts together with the return on plan assets, less amounts included in net interest, are disclosed as 'Actuarial gains and losses'.

The cost of the defined benefit plan, recognised in profit or loss as employee costs, except where included in the cost of an asset, comprises:

a) the increase in net pension benefit liability arising from employee service during the period; and

b) the cost of plan introductions, benefit changes, curtailments and settlements.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is recognised in the statement of comprehensive income as 'other finance costs'.

Pension costs and contribution are determined by the sponsoring company by which the past and present members are and were employed.

1.15 Interest income

Interest income is recognised in the statement of comprehensive income using the effective interest method.

1. ACCOUNTING POLICIES (CONTINUED)

1.16 Provisions

Provisions are made where an event has taken place that gives the Company a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

1.17 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in the statement of comprehensive income, except that a change attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the statement of financial position date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and

- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

1.18 Cash

As part of ExxonMobil's Treasury operations, the Company participates in an interest-bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount as at the statement of financial position date is fully liquid with the Company retaining full ability to access the cash at any time. Interest is charged or credited on balances, including any overdraft positions, on commercially competitive terms.

2. JUDGEMENTS IN APPLYING ACCOUNTING POLICIES AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The preparation of financial statements, in conformity with Generally Accepted Accounting Principles, requires management to make estimates and assumptions that affect the reported assets and liabilities at the date of the financial statements and the reported amount of revenue and expenses incurred during that period. Actual outcomes could differ from those estimates.

3. TURNOVER

Analysis of turnover by country of destination:

	2016 £M	*2015 £M*
United Kingdom	**3,440**	*3,831*
Rest of Europe	**665**	*743*
Rest of the world	**777**	*963*
	4,882	*5,537*

4. OPERATING PROFIT

The operating profit is stated after charging:

	2016 £M	*2015 £M*
Research & development	**6**	*3*
Depreciation of tangible fixed assets	**50**	*67*
Amortisation of intangible fixed assets, including goodwill	**2**	*2*
Foreign exchange differences	**31**	*8*
Operating lease expense - plant and equipment	**8**	*9*
Defined benefit pension cost	**68**	*69*

5. AUDITORS' REMUNERATION

	2016 £'000	*2015 £'000*
Fees payable to the Company's auditor for the audit of the Company's annual financial statements	**119**	*117*
Fees payable to the Company's auditor in respect of :		
Audit-related assurance services in connection to the Company's pension scheme	**54**	*54*
All other services	**6**	*6*
	60	*60*

6. PERSONNEL COSTS

Staff costs, including directors' remuneration, were as follows:

	2016 £M	*2015* *£M*
Wages and salaries	102	*98*
Social security costs	33	*36*
Pension costs	68	*69*
	203	*203*

The average monthly number of employees during the year was as follows:

	2016 No.	*2015* *No.*
Marketing, Refining and Transportation	1,304	*1,327*

The above numbers exclude the following employees seconded to other ExxonMobil affiliates. The Company does not bear the cost of these employees.

	2016 No.	*2015* *No.*
Marketing, Refining and Transportation	192	*203*
Exploration and Production	382	*416*
	574	*619*

7. DIRECTORS' REMUNERATION

	2016 £M	*2015 £M*
Remuneration	1	*1*
	1	*1*

During the year retirement benefits were accruing to 1 director *(2015 - 1)* in respect of defined contribution pension schemes.

During the year retirement benefits were accruing to 7 directors *(2015 - 4)* in respect of defined benefit pension schemes.

The highest paid director received remuneration of £1M *(2015 - £1M)*.

The value of the Company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £7K *(2015 - £NIL)*.

The total accrued pension provision of the highest paid director at 31 December 2016 amounted to £106K *(2015 - £NIL)*.

No directors, including the highest paid director, exercised group share options in the year *(2015: NIL)* and 1 director *(2015: NIL)* became entitled to receive group shares under long term incentive schemes.

The above figures are based on a percentage split, according to time spent by each director in the Company which is determined by each director.

8. INCOME FROM FIXED ASSET INVESTMENTS

	2016 £M	*2015 £M*
Dividends received from unlisted investments	2	*2*

9. INTEREST RECEIVABLE AND SIMILAR INCOME

	2016 £M	*2015 £M*
Interest receivable from group undertakings	2	*2*

10. INTEREST PAYABLE AND SIMILAR EXPENSES

	2016 £M	*2015* *£M*
Interest payable to group undertakings	1	*1*

11. OTHER FINANCE COSTS

	2016 £M	*2015* *£M*
Net interest expense on defined benefit pension	5	*5*

12. TAXATION

	2016 £M	*2015* *£M*
Corporation tax		
Current tax on profits for the year	50	*39*
Adjustments in respect of prior periods	1	*(13)*
Total current tax	51	*26*
Deferred tax		
Origination and reversal of timing differences	(9)	*(7)*
Tax on profit	42	*19*

12. TAXATION (CONTINUED)

FACTORS AFFECTING TAX CHARGE FOR THE YEAR

The tax assessed for the year is lower than *(2015 - lower than)* the average standard rate of corporation tax in the UK of 20% *(2015 - 20.25%)*. The differences are explained below:

	2016 £M	*2015 £M*
Profit before tax	221	*367*
Profit multiplied by the average standard rate of corporation tax in the UK of 20% (2015 - 20.25%)	44	*74*
Effects of:		
Expenses not deductible for tax purposes	(6)	*(6)*
Capital allowances for year in excess of depreciation	4	*(36)*
Adjustments in respect of prior periods	1	*(13)*
Dividends from UK companies	(1)	*-*
Total tax charge for the year	42	*19*

FACTORS THAT MAY AFFECT FUTURE TAX CHARGES

Corporation Tax has been calculated at 20% of the taxable profits for the year *(2015 - 20.25%)*. Legislation was enacted in November 2015 to reduce the UK statutory corporation tax rate to 19% effective from 1 April 2017 and in September 2016 to reduce the rate to 17% effective from 1 April 2020.

13. DIVIDENDS

	2016 £M	*2015 £M*
Dividends paid on equity capital	-	*300*

14. INTANGIBLE FIXED ASSETS

	Software £M	Other £M	Goodwill £M	Total £M
Cost				
At 1 January 2016	42	8	7	57
Additions	-	1	-	1
Transfers from tangible fixed assets	2	4	-	6
Disposals	-	(8)	-	(8)
At 31 December 2016	44	5	7	56
Amortisation				
At 1 January 2016	36	-	7	43
Charge for the year	2	-	-	2
At 31 December 2016	38	-	7	45
Net book value				
At 31 December 2016	6	5	-	11
At 31 December 2015	*6*	*8*	*-*	*14*

15. TANGIBLE FIXED ASSETS

	Retail Sites £M	Other Land & Buildings £M	Plant & Equipment £M	Assets Under Construction £M	Total £M
Cost or valuation					
At 1 January 2016	82	129	1,654	44	1,909
Additions	-	-	-	46	46
Transfers between classes	20	(18)	(2)	-	-
Disposals	(6)	(3)	(23)	-	(32)
Transfers to intangible fixed assets	2	1	26	(35)	(6)
At 31 December 2016	98	109	1,655	55	1,917
Depreciation					
At 1 January 2016	27	60	1,154	-	1,241
Charge for the year	3	2	45	-	50
Transfers between classes	6	(7)	1	-	-
Disposals	(4)	(2)	(16)	-	(22)
At 31 December 2016	32	53	1,184	-	1,269
Net book value					
At 31 December 2016	66	56	471	55	648
At 31 December 2015	*55*	*69*	*500*	*44*	*668*

The net book value of land and buildings may be further analysed as follows:

	2016 £M	*2015 £M*
Freehold	66	*55*
Long leasehold	56	*69*
	122	*124*

16. FIXED ASSET INVESTMENTS

DIRECT SUBSIDIARY UNDERTAKINGS

The following were subsidiary undertakings of the Company:

Name	Class of shares	Holding
ExxonMobil Pension Trust Limited	Ordinary	100 %
ROC UK Limited	Ordinary	100 %

OTHER INVESTMENTS

Name	Class of shares	Holding
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25 %
Heathrow Hydrant Operating Company Limited	Ordinary	20 %
Stansted Fuelling Company Limited	Ordinary	29 %

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business.

The registered office of Gatwick Airport Storage and Hydrant Company Limited is: 8 York Road, London, SE1 7NA and that of Heathrow Hydrant Operating Company Limited is: Building 1204 Sandringham Road, Heathrow Airport, Hounslow, Middlesex, TW6 3SH.

All of the other subsidiary companies have their registered offices at: Ermyn House, Ermyn Way, Leatherhead, Surrey, KT22 8UX.

17. INVENTORIES

	2016 **£M**	*2015* *£M*
Raw materials and consumables	**216**	*187*
Work in progress	**110**	*81*
Finished goods and goods for resale	**301**	*246*
	627	*514*

The replacement cost of all categories of inventories held by the Company at 31 December 2016 was £679M *(2015 - £525M)*.

18. DEBTORS

	2016 £M	*2015 £M*
Due after more than one year		
Other debtors	5	*5*
Prepayments and accrued income	12	*8*
	17	*13*

	2016 £M	*2015 £M*
Due within one year		
Trade debtors	602	*387*
Amounts owed by group undertakings	464	*403*
Other debtors	38	*25*
Prepayments and accrued income	18	*12*
Tax recoverable	7	*44*
	1,129	*871*

The Company participates in an interest-bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount of £377M as at 31 December 2016 is included in 'Amounts owed by group undertakings' *(2015 - £314M)*.

All other balances are unsecured, interest free and have no fixed repayment date.

19. CREDITORS: Amounts falling due within one year

	2016 £M	*2015 £M*
Bank loans and overdrafts	-	*1*
Trade creditors	40	*54*
Amounts owed to group undertakings	261	*215*
Corporation tax	28	*-*
Other taxation and social security	515	*448*
Other creditors	8	*5*
Accruals and deferred income	146	*126*
	998	*849*

20. CREDITORS: Amounts falling due after more than one year

	2016 £M	*2015 £M*
Amounts owed to group undertakings	100	*100*
Multi-employer pension plan	8	*10*
	108	*110*

Except for the loans detailed in note 21 all other amounts are unsecured, interest free and have no fixed repayment date.

21. LOANS

Analysis of the maturity of loans is given below:

	2016 £M	*2015 £M*
Amounts owed to group undertakings		
Repayable after 1 year	100	*100*

Amounts repayable after one year include loans at the following interest rates:

	2016 £M	*2015 £M*
Interest at a rate of 3 month LIBOR +0.0625% (2015 - 3 month LIBOR +0.0625%)	100	*100*

Included in the amounts falling due after one year is an amount of £100M with interest payable in quarterly instalments and principal which is repayable on or before 31 December 2033 and carries variable interest at LIBOR +0.0625%.

22. FINANCIAL INSTRUMENTS

	2016 £M	*2015 £M*
Financial assets		
Financial assets that are debt instruments measured at amortised cost	**1,119**	*826*
Financial liabilities		
Financial liabilities measured at amortised cost	**564**	*511*

The carrying value of financial assets and financial liabilities approximates their fair value.

23. DEFERRED TAXATION

	2016 £M	*2015 £M*
At 1 January	**(37)**	*(40)*
Charged to the profit or loss	**6**	*3*
At 31 December	**(31)**	*(37)*

The provision for deferred taxation is made up as follows:

	2016 £M	*2015 £M*
Accelerated capital allowances	**(31)**	*(37)*

24. PROVISIONS

	URBS £M	Other £M	Total £M
At 1 January 2016	6	7	13
Charged to profit or loss	2	4	6
AT 31 DECEMBER 2016	**8**	**11**	**19**

The Unfunded Retirement Benefit Scheme ('URBS') provision relates to salary sacrifices by the members of the ExxonMobil supplementary pension plan (see note 26). Other provisions consist of an environmental remediation reserve for two terminals.

25. CAPITAL COMMITMENTS

At 31 December the Company had capital commitments as follows:

	2016 £M	*2015 £M*
Contracted for but not provided in these financial statements	26	*37*

26. PENSION COMMITMENTS

The Company operates a Defined Benefit Pension Scheme.

The Company is the principal employer of a Defined Benefit Pension Scheme providing final salary benefits. The Plan is open to new members. The Plan is subject to the statutory funding objective and so must aim to have sufficient and appropriate assets to cover the Plan's liabilities on the funding basis which is agreed between the member companies and the Trustee of the Plan.

As at the date of the most recently completed actuarial valuation (31 December 2015) the statutory funding objective was met. However, if the statutory funding objective is not met, the shortfall revealed between the Plan's assets and liabilities must be repaired through the payment of deficiency contributions. The Plan obtained the necessary authorisations and approval under Part 7 of the Pensions Act 2004 to become a 'cross border' scheme. As the Plan is a 'cross border' arrangement, any deficiency contributions must be paid within the period of 2 years following the valuation date.

Reconciliation of present value of plan liabilities:

	2016	*2015*
	£M	*£M*
RECONCILIATION OF PRESENT VALUE OF PLAN LIABILITIES		
At the beginning of the year	**4,376**	*4,257*
Current service cost	**68**	*69*
Interest cost	**161**	*155*
Actuarial gains / (losses)	**860**	*(63)*
Plan participants contributions	**-**	*5*
Benefits paid	**(190)**	*(174)*
Other	**(1)**	*-*
Plan introductions, settlements & curtailments	**-**	*122*
Foreign exchange effects on revaluation	**20**	*5*
AT THE END OF THE YEAR	**5,294**	*4,376*

26. PENSION COMMITMENTS (CONTINUED)

	2016 £M	2015 £M
RECONCILIATION OF PRESENT VALUE OF PLAN ASSETS		
At the beginning of the year	4,221	4,109
Interest income	156	150
Actuarial gains/losses	866	(62)
Plan participants' contributions	-	5
Contributions	44	44
Benefits paid	(190)	(174)
Plan introductions, settlements & curtailments	-	146
Administration costs paid	(2)	(3)
Foreign exchange effects on revaluation	25	6
AT THE END OF THE YEAR	5,120	4,221

Composition of plan assets:

	2016 £M	2015 £M
Equity securities	2,030	1,700
Debt securities	3,074	2,516
Other	16	5
TOTAL PLAN ASSETS	5,120	4,221

	2016 £M	2015 £M
Fair value of plan assets	5,120	4,221
Present value of plan liabilities	(5,294)	(4,376)
Related deferred tax asset	35	32
NET PENSION SCHEME LIABILITY	(139)	(123)

26. PENSION COMMITMENTS (CONTINUED)

The amounts recognised in statement of comprehensive income are as follows:

	2016 £M	*2015 £M*
Current service cost	**(68)**	*(69)*
Interest on obligation	**(161)**	*(155)*
Interest Income on assets	**156**	*150*
(Losses)/Gains on plan introductions, curtailments and settlements	**-**	*25*
TOTAL	**(73)**	*(49)*

The cumulative amount of actuarial gains and losses recognised in the Statement of Comprehensive Income was £1,527M *(2015 - £1,538M)*.

The Company expects to contribute £82M to its Defined Benefit Pension Scheme in 2017.

	2016 £M	*2015 £M*
ANALYSIS OF ACTUARIAL GAIN RECOGNISED IN OTHER COMPREHENSIVE INCOME		
Actual return less interest income included in net interest income	**866**	*(62)*
Experience gains and losses arising on the scheme liabilities	**34**	*37*
Changes in assumptions underlying the present value of the scheme liabilities	**(894)**	*26*
Foreign exchange effects on revaluation	**5**	*-*
TOTAL	**11**	*1*

26. PENSION COMMITMENTS (CONTINUED)

Principal actuarial assumptions at the statement of financial position date (expressed as weighted averages):

	2016 %	2015 %
Discount rate	**2.70 %**	*3.80 %*
Expected return on scheme assets	**2.70 %**	*3.80 %*
Price Inflation (RPI)	**3.20 %**	*3.00 %*
Price Inflation (CPI)	**2.20 %**	*2.00 %*
Future salary increases	**3.20 %**	*4.00 %*
Pension increases for in-payment benefits:		
- Pre - 1997 benefits	**2.20 %**	*2.10 %*
- 1997 - 2006 benefits	**3.20 %**	*3.00 %*
- Post April 06	**2.50 %**	*2.50 %*
Pension Increases for deferred benefits	**2.20 %**	*2.00 %*
Mortality assumptions		
- for a male aged 60 now	**28.1**	*28.1*
- at 60 for a male aged 50 now	**29.0**	*29.1*
- for a female aged 60 now	**30.6**	*30.6*
- at 60 for a female aged 50 now	**31.7**	*31.6*

26. PENSION COMMITMENTS (CONTINUED)

ExxonMobil Supplementary Plan

There is an additional ExxonMobil Supplementary Pension Plan which is an unfunded pension scheme.

Included in the liability valuation above is an amount of £131.6M *(2015 - £89.7M)* which relates to the unfunded ExxonMobil Supplementary Plan.

Merchant Navy Officers Pension Fund

The Company is a participating employer in the Merchant Navy Officers Pension Fund. Company contributions to this fund amounted to £2M *(2015 - £2M)* during the year. In 2016 and 2015 this consisted entirely of deficit contributions.

The last valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2015.

The schedules provided by the fund's trustees to the Company detail only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 28.11A of FRS 102 is therefore treating the plan as a defined contribution plan.

The actuarial valuation as at 31 March 2012 showed an aggregate fund deficit of £492M (2009 - £740M). Additional contributions as a result of this valuation were requested with effect from September 2013.

All employers participating in the Merchant Navy Officers Pension Fund are joint and severally liable for obligations of the fund.

Merchant Navy Ratings Pension Fund

The Company is also a participating employer in the Merchant Navy Ratings Pension Fund. Company contributions amounted to £114K *(2015 - £215k)* during the year consisting entirely of deficit contributions.

The latest valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2017.

The schedules provided by the fund's trustees to the Company detail only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 28.11A of FRS 102 is therefore treating the plan as a defined contribution plan.

The last actuarial valuation as at 31 March 2014 showed an aggregate fund deficit of £325M. Additional contributions as a result of this valuation were requested with effect from September 2015.

In light of the new deficit contribution regime, ExxonMobil companies have overpaid contributions and this overpayment has been included in the calculation of the deficit contributions payable for 2015 to 2016.

27. COMMITMENTS UNDER OPERATING LEASES

At 31 December 2016 the Company had total commitments under non-cancellable operating leases as follows:

	2016 £M	*2015* *£M*
Not later than 1 year	1	*4*
Later than 1 year and not later than 5 years	3	*6*
Later than 5 years	5	*8*
	9	*18*

28. SHARE CAPITAL

	2016 £M	*2015* *£M*
Allotted, called up and fully paid		
228,385,200 *(2015 - 228,385,200)* ordinary shares of £1 each	228	*228*
345,000,000 *(2015 - 345,000,000)* redeemable ordinary shares of £1 each	345	*345*
	573	*573*

29. RESERVES

Other reserves

This represents capital contribution received from Esso UK.

Profit and loss account

Profit and loss account represents accumulated comprehensive income for the year and prior years less dividends.

30. RELATED PARTY TRANSACTIONS

During the financial year, the Company entered into sales and purchasing transactions with other related parties.

The related parties, as defined by FRS 102 section 33, the nature of the relationship and the extent of the transactions with them are summarised below.

The following table details balances from and to other related parties divided between trade and loan accounts at the statement of financial position date in accordance with the disclosure requirements of FRS 102 section 33. The related parties disclosed in the table below are affiliated entities which are not wholly owned within the ExxonMobil Corporation group. Balances and transactions between the Company and related parties which are wholly owned within the ExxonMobil Corporation are not disclosed.

	2016 £M	*2015 £M*
Turnover	**2**	*1*
Cost of Sales	**1**	*1*
Intercompany Debtors	**12**	*12*
Intercompany Creditors	**13**	*13*

31. POST BALANCE SHEET EVENTS

In March 2017, the Company paid a dividend of £100M to ExxonMobil UK Limited.

32. CONTROLLING PARTY

The immediate parent company is ExxonMobil UK Limited. The ultimate parent company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest and the largest group of which the Company is a member and for which group financial statements are prepared is Exxon Mobil Corporation. Financial statements can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.